because it is proprietary. Policymakers can help discover relevant parts of that information by creating incentives for market participants.

For instance, when there is not enough information to price a public service based on a ground-up costing, they can use reverse auctions to discover a reasonable price. Similarly, policymakers may also rely more on competitive market structures to reduce the need for information and analysis. For instance, for setting tariff in infrastructure sectors, instead of relying on ground-up costing, regulators could set the tariffs based on benchmarks of the industry, so that those performing worse than the average get a disincentive.

In India, our public policy capabilities are highly circumscribed by the unavailability of data. This creates the need for informal information channels. In an ideal world, we would like to have statistics and analytical models. In our reality in India, our ability to undertake formal economic analysis on many problems is limited.

When quantitative analysis is infeasible, we should do more qualitative research. Every policy thinker in India must thus have a strong emphasis on a human network in the real world, on going out on field trips, on looking at our world, listening to people, and trying to assimilate what they are saying. We do not have the luxury of reading papers and looking at data; we have to look directly at the world.

If a field is well instrumented, with high-quality data, a new person can come into it and rapidly pick up the ropes. The information set in India, in most fields, is composed of soft information that is picked up over the years from a human network in an environment of trust. For this reason, successful work in public policy in a given field in India requires long years of experience in the field. It is hard for a person to learn a new field rapidly.

Kicking off improvements in measurement

> *I must study politics and war that my sons may have liberty to study mathematics and philosophy.*